Two reflagged U.S. Flag Product Carriers participate in the U.S. Maritime Security Program, which ensures that privately-owned, military-useful U.S. Flag vessels are available to the U.S. Department of Defense in the event of war or national emergency. Each of the vessel-owning companies receives an annual subsidy, subject in each case to annual congressional appropriations, which is intended to offset the increased cost incurred by such vessels from operating under the U.S. Flag. Such subsidy was $5,000 for each vessel in 2019 and $5,000 on one vessel and $4,600 on one vessel in 2018.

Under the terms of the program, we expect to receive up to $5,000 annually for each vessel during 2020, and up to $5,200 for each vessel beginning in 2021. We do not receive a subsidy for any days for which either of the two vessels operate under a time charter to a U.S. government agency.

In June 2019, one of our lightering customers, PES, suffered an explosion and fire at its refinery in the Delaware Bay. The PES refinery complex, which consists of two refineries, has been shut down since the fire. Due to the expected reduction in lightering volumes, we redeployed one of our two lightering ATBs to the U.S. Gulf of Mexico for alternative employment. In July 2019, PES filed a Chapter 11 bankruptcy petition. At December 31, 2019, we had outstanding receivables from PES of approximately $4,300. The ultimate recovery of these receivables is currently unknown. We established a loss provision of $4,300. We are working diligently to maximize our recovery.

In June 2018, one of our ATBs was berthed to the dock when a third-party ship transiting the channel hit our ATB, causing structural damage to the ATB and damage to the dock. The cost of repairs has been covered by existing insurance policies. We have filed a lawsuit against the third-party ship seeking recovery of our costs of repairs as well as our lost earnings from the ATB being off-hire for 46 repair days.

General and Administrative Expenses

During 2019, general and administrative expenses decreased by $3,481 to $23,399 from $26,880 in 2018. This decrease was primarily driven by reduced compensation and benefit costs, as well as reduced legal, accounting and consulting fees.

INTEREST EXPENSE

The components of interest expense are as follows:

	Years Ended December 31,	
	2019	**2018**
Interest before impact of interest rate caps	$ 25,633	$ 30,709
Impact of interest rate caps	—	181
Interest expense	$ 25,633	$ 30,890

Interest expense, including administrative and other fees, was $25,633 for 2019 compared with $30,890 in 2018. The decrease in interest expense was primarily associated with the impact of the refinancing of our term loan at the end of 2018 and interest capitalized during 2019 due to vessels under construction.

INCOME TAX (EXPENSE)/BENEFIT

The effective tax rates for the years ended December 31, 2019 and 2018 were 5.8% and 419.2%, respectively. The effective tax rates varied from 2018 to 2019 because of the audit settlement that occurred in 2018. Our effective tax rate has varied year over year primarily due to fluctuations in our pre-tax book income/(loss), particularly going from losses in 2018 to income in 2019, as well as estimates of our ability to realize certain tax assets and changes in tax law.

As of December 31, 2019, we had U.S. federal net operating loss carryforwards of approximately $213,800 which are available to reduce future taxes, if any. The existing federal net operating loss carryforwards begin to expire in 2034.